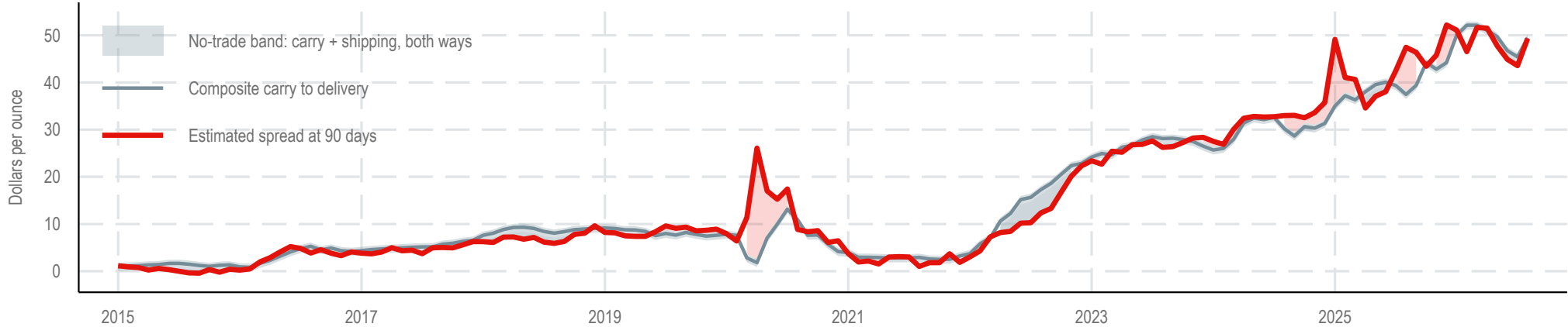


Gold moves only when the spread clears the cost

The estimated COMEX-London spread against carry plus shipping, and the net metal that crossed. Above the band the westward trade pays; below it the eastward one does

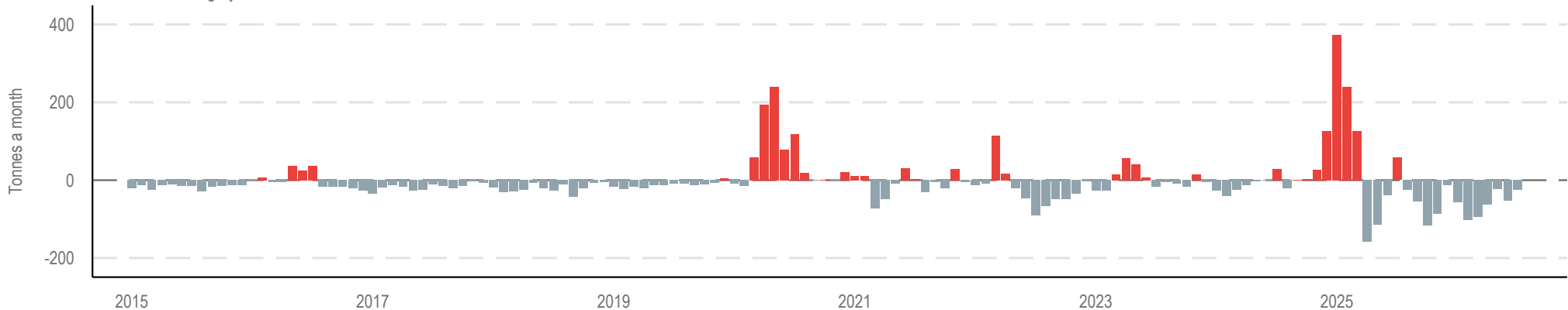
The spread, and what it has to clear

Dollars an ounce at a fixed ninety-day horizon, monthly means



Net metal shipped

United States, both directions netted, tonnes derived from customs value.
Red is net west, grey net east; 105 of 139 months are net east



The spread is a daily open-interest-weighted projection of the COMEX curve onto log price against days to first notice, re-timed to the London auction so the three-and-a-half-hour gap between the two fixings is removed from the intercept. kappa, the shipping term in the hurdle, is an assumption with an interval containing zero, not a measurement. Panel B is US customs, both headings, with tonnage derived from customs value